KENBRIGHT ACTUARIAL AND FINANCIAL SERVICES LIMITED

GENERAL INSURANCE DATA & CHECKS

INTERNAL TECHNICAL PROCEDURES MANUAL

VERSION 1.0

JANUARY 2025

KAFS ITP

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OUR REF

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DOCUMENT PURPOSE

The document has been produced to serve as the internal Technical Procedure for General Insurance Valuation Data & Checks under Kenbright Actuarial and Financial Services Limited

DOCUMENT OWNERSHIP

The owner of this document is Kenbright Actuarial and Financial Services Limited

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1 DATA REQUIREMENTS

1.1. The data required for the valuation of general insurance liabilities as at the valuation date can be categorized into three main groups:

a) Premium Data

b) Claims Data

c) Financial Statements & Solvency Report

Premium Data

Premium Register

1.2. This is the schedule containing all policies written by the insurer in the period under consideration.

1.3. The Premium Register should contain all active policies in the year including those that have already expired. This file gives the total gross and net written premium of the insurer in the year.

1.4. The premium schedule should be pulled as at the valuation date

1.5. The data items required in this file are:

a) Unique policy identifier – policy number

b) Class of business – based on the regulatory classification

c) Date premium was paid

d) Policy start-date

e) Policy end-date

f) Insured

g) Sum insured

h) Gross premium

i) Reinsurance premium per type of reinsurance.

Exposure File (Active Policies)

1.6. The exposure file contains all active in-force policies written by the insurer. This file is useful in the computation of the Unearned Premium Reserve (UPR).

1.7. The Exposure file should be pulled as at the Valuation Date.

1.8. The data items required in this file are

a) Unique policy identifier – policy number

b) Class of business – based on the regulatory classification

c) Policy start-date

d) Policy end-date

e) Insured

f) Sum insured

g) Gross premium

h) Reinsurance premium per type of reinsurance

Claims Data

Paid Claims

1.9. The Paid Claims schedule contains claims that have been paid whether wholly or partially by the insurer over the years.

1.10. Paid claims information needed should be for a period of not less than six (6) years or since the insurer started operations where this is less than six years. This is to ensure that the insurer's historical claims experience is captured in the computations.

1.11. The definition of paid claims should be confirmed to ensure that the file contains only the settled claims.

1.12. Data items required in this file are:

a) Unique claim identifier – Claim number

b) Class of business – based on the regulatory classification

c) Date of loss

d) Date of registration (Reporting date)

e) Date of payment

f) Policy start-date

g) Policy end-date

h) Insured

i) Sum insured

j) Claims status – description of whether the claim is fully paid, partially paid, a reopening etc.

k) Cause of claim

l) Gross claim paid

m) Reinsurance share of claim per type of reinsurance

n) Breakdown of claims management expenses e.g. payments to loss adjustors and lawyers

Outstanding Claims

1.13. Outstanding claims are defined as claims that have been reported to the insurance company but are yet to be paid.

1.14. This file should be pulled as at each valuation date for the years under review and should include the following data items:

a) Unique claim identifier – Claim number

b) Class of business – based on the regulatory classification

c) Date of loss

d) Date of registration (Reporting date)

e) Policy start-date

f) Policy end-date

g) Insured

h) Sum insured

i) Claims status – description of whether the claim is partially paid, a reopening, etc.

j) Cause of claim

k) Gross outstanding claim

l) Reinsurance share of claim per type of reinsurance

Financial Statements and Solvency Report

1.15. The financial statements required for the general insurance valuation exercise are:

a) Audited accounts from when the historical data is pulled to the latest audited year

b) Management accounts dated year to the Valuation Date – including a breakdown of expenses and the budget for the year.

1.16. Solvency computation from the insurance company will be used in the assessment of its solvency. The solvency computation should be as at the current valuation date.

2 DATA CHECKS

2.1. Upon receiving data, the next phase is carrying out data checks before the data is used in computations.

2.2. The aim is to review the credibility of the data provided which should include considerations of the data's:

a) Reasonability & Appropriateness

b) Consistency; and

c) Completeness & Accuracy.

Reasonability & Appropriateness Checks

2.3. Ensure that we have received full data as requested

2.4. Check each file to confirm that the data items requested are provided

2.5. Confirm that entries are saved in their right formats e.g. dates, numbers, and text

2.6. Identify unusual entries in the data that don't make sense. These include blanks and unreasonable values such as negative, very small or zero values, and unusual dates

2.7. Check on the sum insured vis-à-vis the premium paid

2.8. Random spot checks on the files. To confirm the entries in the data files make sense

2.9. Conduct the following checks on the dates:

i. Policy start-date is before policy end-date per policy

ii. Claim loss-date is within the policy duration

iii. Claim loss-date is before the reporting date per claim

iv. Claim reporting date is before its payment date per claim.

Consistency Checks

2.10. First, confirm whether the data provided is additional or pulled year to the current valuation date. This applies for existing clients who have shared data before.

2.11. For data pulled from start of the year to the current valuation date, check to confirm that the information as at the last valuation date is unchanged.

2.12. Carry out a movement analysis in the Outstanding Claims' schedules for both new and existing clients as follows:

$$\text{Number of Claims/TotalAmount Outstanding as at the Current Valuation Date}$$
$$= \text{Number ofClaims/TotalAmount Outstanding as at the Last Valuation Date}$$
$$+ \text{Number ofClaims/TotalAmount reported during the inter} - \text{valuation period}$$
$$- \text{Number of Claims/Total Amount Paid during the inter}$$
$$- \text{valuation period (including movements like reopening and revisions as appropriate)}$$

2.13. The Paid Claims Schedule as at the current Valuation Date should have full information as at the last Valuation date plus the claims paid during the inter-valuation period.

2.14. Carry out a movement analysis in the Premium schedules to confirm that lapsed/matured policies that were active as at the last period under review are included in the respective Premium Register.

Completeness & Accuracy Check

2.15. Check that all policies still active, as at the current valuation date, in the Premium Register are included in the Active Policies schedule.

2.16. Confirm the accuracy of the data shared by comparing with the numbers disclosed in the accounts. Do this by comparing both gross and net amounts in the Premium Register, Paid Claims, and Outstanding Claims schedules with the values in the Management Accounts as at the respective valuation dates.

2.17. Get details of both the allocated and unallocated claims management expenses and confirm whether the information is included in the data or is availed in a separate file.

Dealing with Errors in Data

2.18. There are various ways of dealing with errors in the data for valuation. The right course of action should be guided by the following key factors:

a) Purpose of the data

b) Volume of data and credibility of termination and exposure

c) Specific group of data with errors and the number of policies with errors

d) Ability to validate the correction

e) Ability to provide an audit trail for explanation later

f) Goal of future studies

g) Potential use of the data for other purposes

2.19. The following are some of the ways to treat errors in data:

a) Deleting - discarding the data entries from the analysis. Entries with errors can be flagged and completely removed from the data. This however requires that the actuary/analyst considers the material effect of the deletion on the analysis results.

b) Ignoring the particular record with errors

c) Correcting – Flagging the data fields with errors and correcting them. The client/data owner should be able to provide the necessary corrections.

d) Filling in – Assumptions could be made to fill in the missing points in the data. Highlight any such assumption to be reviewed and discussed with the Actuarial Manager.

Notes

2.20. Summarize all failed checks and other concerns that need correction in a separate Excel file and send the queries to the client for clarification.

2.21. Follow up on the queries raised to ensure that the data cleaning phase doesn't affect the project timelines.

Summaries

2.22. Upon completion of data checks and receiving complete data, summarize the information per class of business as follows:

a) Total Reported Claims (Claims O/S + Total Claims Paid as at the current valuation date)

i. Count of claims per loss year/quarter

ii. Gross Claim Amounts per loss year/quarter

b) Premium Registers

i. Gross and Net Written Premium per underwriting year

2.23. Highlight any assumption made on the data to be discussed and signed off by the Actuarial Manager.

3 DATA COLLECTION TEMPLATE

General Insurance Valuation

General Information	
Insurer:	
Valuation Date:	

Requested Data	
1	Audited Financial Statements (specify years)
2	Management Accounts as at the current Valuation Date
3	Previous Actuarial Valuation Reports (specify years)
4	Policy Data:
i.	Active Policies as at the current valuation date
ii.	Premium Register (specify years)
iii.	Paid Claims (specify years)
iv.	Outstanding Claims as at current valuation date
5	Completed Capital Adequacy Template as the current valuation date
6	Expenses Breakdown by type and per class of business

Policy Level Information

Data Items

Active (In-force) Policies
Unique Policy Identifier
Class of Business e.g. Motor Private etc.
Subclass of Business e.g. Comprehensive, Third Party Only etc.
Product Description e.g. Goods in Transit, Burglary etc.
Date of Premium Payment
Insured (Policyholder)
Sum Insured
Policy Start Date
Policy End Date
Gross Premium
Commission Expense
Reinsurance Premium per type of reinsurance treaty
Net Premium

Premium Registers
Unique Policy Identifier
Class of Business e.g., Motor Private etc.
Subclass of Business e.g., Comprehensive, Third Party Only etc.
Product Description e.g., Goods in Transit, Burglary etc.
Policy Description (New, Renewal, Endorsement, Cancellation etc.)
Insured (Policyholder)
Underwriting Year
Source of Business (Brokers, direct, agents, etc.)
Policy Start Date

Policy End Date
Date of Premium Payment
Sum Insured
Gross Premium
Commission Expense
Reinsurance Premium per type of reinsurance treaty
Net Premium

Paid Claims

Unique Policy and Claim Identifiers
Class of Business e.g., Motor Private etc.
Subclass of Business e.g., Comprehensive, Third Party Only etc.
Product Description e.g., Goods in Transit, Burglary etc.
Insured (Policyholder)
Policy Start Date
Policy End Date
Date of Loss
Reporting Date
Date of Payment
Cause of claim/peril e.g., theft, flood etc.
Claim Type e.g., property damage, bodily injury etc.
Claim Status e.g., fully paid, partially paid, reopening etc.
Amount of Gross Claim Payment
Amount of Reinsurance Recovery
Details of claims handling expenses
Amount of Net Claim Payment

Outstanding Claims

Unique Policy and Claim Identifiers
Class of Business e.g., Motor Private etc.
Subclass of Business e.g., Comprehensive, Third Party Only etc.
Product Description e.g., Goods in Transit, Burglary etc.
Insured (Policyholder)
Policy Start Date
Policy End Date
Date of Loss
Reporting Date
Cause of claim/peril e.g., theft, flood etc.
Claim Type e.g., property damage, bodily injury etc.
Claim Status e.g., fully paid, partially paid, reopening etc.
Amount of Gross Outstanding Claims
Expected Reinsurance Recovery
Amount of Net Outstanding Claims

Sign-Off Template

Sign-off

Statement by the Lead Analyst

I have acquired the required data from the client and did data validation in line with the KAFS Internal Technical Procedure on Data & Checks. The key assumptions made are summarized below:

Key Assumptions

1 _____

2 _____

3 _____

4 _____

5 _____

Name: _____

Date: _____

Statement by the Supervisor

I have reviewed the data validation process and discussed the issues encountered and the key assumptions made by the Lead Analyst. I confirm that the data is appropriate for use.

Name: _____

Date: _____

4 APPROVAL

Thus, adopted and signed by the management and Chief Actuary of KAFS in January 2025.

APPROVED BY

Ezekiel Macharia

Chief Actuary & Managing Director – Kenbright Actuarial and Financial Services Limited

Date: January 2025

Signed:

kenbright

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